

Oshi Inc.

**Consolidated Financial Statements
as of December 31, 2025**

Consolidated Financial Statements as of December 31, 2025

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Independent Auditors' Report

To the Shareholders of Oshi Inc.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of Oshi Inc. (the Company), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the related consolidated statements of operations, changes in Shareholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2025 and 2024, and the results of its operations and its cash flows for the years then ended in accordance with U.S. generally accepted accounting principles.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

As discussed in Note 1D to the consolidated financial statements, as of the balance sheet date the Company has a deficit in shareholders' equity and is dependent upon future funding to complete its development plans. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with U.S. generally accepted accounting principles, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year after the date that the consolidated financial statements are issued.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.



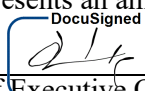
Somekh Chaikin
Member Firm of KPMG International
Tel Aviv, Israel

May 6, 2026

Consolidated Balance Sheets as of

		December 31, 2025	December 31, 2024
	Note	USD thousands	USD thousands
Assets			
Current assets			
Cash and cash equivalents	3	1,725	3,356
Restricted bank deposits	4	421	357
Short term bank deposits	4	-	2,000
Trade receivables		52	12
Other accounts receivables		88	112
Inventory		99	72
Total current assets		2,385	5,909
Long-term assets			
Restricted bank deposits	4	66	58
Right of use of asset	6	211	322
Property, plant and equipment, net	5	1,174	1,588
Total long-term assets		1,451	1,968
Total assets		3,836	7,877
Liabilities and shareholders' equity			
Current liabilities			
Trade payables		99	146
Employee payables		164	256
Operating lease liability	6	212	169
Other accounts payables		70	33
Total current liabilities		545	604
Long-term liabilities			
Operating lease liability, net of current portion	6	289	438
Convertible promissory notes	7	5,747	5,352
Total long-term liabilities		6,036	5,790
Total liabilities		6,581	6,394
Shareholders' equity			
Ordinary shares of US\$ 0.0001 par value - authorized: 5,246,970 shares at December 31, 2025 and 2024. Issued and outstanding: 1,051,663 and 1,009,523 shares at December 31, 2025 and 2024 respectively.	8	*	*
Pre seed shares of US\$ 0.0001 par value - Authorized: 452,580 shares at December 31, 2025 and 2024. Issued and outstanding: 452,580 as of December 31, 2025 and 2024.		*	*
Seed Shares of US\$ 0.0001 par value - Authorized: 800,450 shares at December 31, 2025 and 2024. Issued and outstanding: 800,450 shares at December 31, 2025 and 2024.		*	*
Additional paid in capital	9	14,784	14,669
Accumulated deficit		(17,529)	(13,186)
Total shareholders' equity		(2,745)	1,483
Total liabilities and shareholders' equity		3,836	7,877

* Represents an amount of less than USD 1 thousand.

DocuSigned by:

 Chief Executive Officer & Director

Eli Kotzer
 Chief Financial Officer

Date of approval of the financial statements: May 6, 2026

Consolidated statements of Operations

		For the year ended December 31, 2025	For the year ended December 31, 2024
	Note	USD thousands	USD thousands
Revenues		222	56
Cost of revenues		602	635
Gross loss		380	579
Operating expenses:			
Research and development expenses, net	10	1,060	1,256
Sales and marketing expenses	11	958	630
General and administrative expenses	12	1,774	2,076
Other Income	6	(137)	(83)
Operating loss		4,035	4,458
Finance expense	13	405	405
Finance income	14	(173)	(302)
Loss before income taxes		4,267	4,561
Income taxes		76	-
Net loss		4,343	4,561

The accompanying notes are an integral part of these financial statements.

Consolidated Statements of Changes in Shareholder's Equity

	Ordinary shares		Seed shares		Pre-seed shares		Treasury Ordinary Shares		Additional paid-in capital	Accumulated deficit	Total shareholders' equity
	Shares	Amount	Shares	Amount	Shares	Amount	Shares	Amount			
Balance as of January 1, 2024	1,032,670	*	800,450	*	452,580	*	-	-	14,537	(8,625)	5,912
Share-based compensation	-	-	-	-	-	-	-	-	132	-	132
Treasury Ordinary Shares	(31,250)	-	-	-	-	-	31,250	-	-	-	-
Exercise of options to Ordinary Shares	8,103	*	-	-	-	-	-	-	-	-	*
Net loss for the year	-	-	-	-	-	-	-	-	-	(4,561)	(4,561)
Balances as of December 31, 2024	1,009,523	*	800,450	*	452,580	*	31,250	-	14,669	(13,186)	1,483
Share-based compensation	-	-	-	-	-	-	-	-	110	-	110
Exercise of options to Ordinary Shares	42,140	*	-	-	-	-	-	-	5	-	5
Net loss for the year	-	-	-	-	-	-	-	-	-	(4,343)	(4,343)
Balance as of December 31, 2025	<u>1,051,663</u>	<u>*</u>	<u>800,450</u>	<u>*</u>	<u>452,580</u>	<u>*</u>	<u>31,250</u>	<u>-</u>	<u>14,784</u>	<u>(17,529)</u>	<u>(2,745)</u>

* Represents an amount of less than USD 1 thousand.

The accompanying notes are an integral part of these financial statements.

Consolidated Statements of Cash Flows

	For the year ended December 31, 2025	For the year ended December 31, 2024
Cash flows used in operating activities		
Loss for the year	(4,343)	(4,561)
Adjustments for:		
Depreciation	425	429
Non-cash interest on convertible loan	395	396
Right-of-use asset and lease liability changes, net	5	(64)
Share-based compensation	110	132
Change in trade and other accounts receivable	(16)	(23)
Change in inventory	(27)	(72)
Change in trade, employee and accounts payable	(102)	21
Net cash used in operating activities	(3,553)	(3,742)
Cash flows from investing activities		
Restricted bank deposits	(72)	(6)
Change in short-term deposit	2,000	1,503
Acquisition of fixed assets	(19)	(60)
Proceeds from sale of equipment	8	-
Net cash from investing activities	1,917	1,437
Cash flows from financing activities		
Proceeds from issuance of Convertible promissory notes	-	1,650
Proceeds from exercise of share options	5	-
Net cash from financing activities	5	1,650
Net decrease in cash and cash equivalents	(1,631)	(655)
Cash and cash equivalents as at the beginning of the year	3,356	4,011
Cash and cash equivalents at end of the year	1,725	3,356

The accompanying notes are an integral part of the financial statements.

Notes to the Financial Statements

Note 1 – General

- A. Oshi Inc. (hereinafter – the "Company" or "Parent") is a company incorporated in Delaware, USA on July 31, 2023.

On the same date, as part of a tax-free restructuring approved in advance by the Israeli Tax Authority (hereinafter – the "Restructure"), the shareholders of Oshi Technologies Ltd. (formerly Plantish Ltd.) transferred all of their shares in Oshi Technologies Ltd. to the Company in exchange for shares of the Company, at a ratio of 1:10, such that Oshi Technologies Ltd. became a wholly owned subsidiary of the Company. The shareholders maintained the same proportionate ownership in the Company as they held in Oshi Technologies Ltd. prior to the Restructure.

Oshi Technologies Ltd. is an Israeli resident company, incorporated as a private company in Israel on March 8, 2021, and commenced its operations on the same date under the name Plantish Ltd. In May 2024, the company changed its name to Oshi Technologies Ltd.

Oshi Technologies Ltd. is engaged in the development of technology for the production of plant-based fish substitutes. The technology enables the production of fillets made solely from plant-based ingredients, simulating the experience of eating fish, with nutritional values comparable to those of fish.

- B. In July 2024, a new program was approved by the Israeli Innovation Authority (the "IIA") in which the IIA will fund 50% of the Company's research and development expenditures. The duration of this program is for a period of 12 months in the total amount of NIS 1,967,030 (\$541 thousand), and the period for utilizing the budget has been extended until December 31, 2025.
- C. In October 2023, a large-scale terrorist attack in southern Israel led to the outbreak of armed conflict between Israel and Hamas. The conflict subsequently expanded to additional regional fronts and contributed to a period of heightened geopolitical and security instability in the region.

During 2024 and 2025, hostilities included military operations in Lebanon and direct confrontations involving Iran. These developments increased regional uncertainty and, at times, resulted in temporary disruptions to the Company's operations in Israel, including limited interruptions to routine business activities.

In September 2025, a ceasefire agreement was reached between Israel and Hamas, and all remaining living Israeli hostages were released and returned to Israel. While the ceasefire has generally held as of the date of these financial statements, the security situation remains sensitive, and the potential for renewed hostilities or broader regional escalation cannot be ruled out. More recently, in February 2026, hostilities between Israel and Iran escalated once again. Israel, together with the United States, launched a significant joint military campaign involving air and missile strikes against targets in Iran, which triggered a broad Iranian response and contributed to heightened regional instability. Subsequently, in March 2026, tensions escalated along the Lebanese border as Hezbollah launched attacks against Israel, firing rockets across the border. In response, Israel conducted targeted airstrikes against Hezbollah positions in Lebanon, raising concerns within the international community regarding the po

Following these escalations, ceasefire arrangements were reached with Iran and with Hezbollah. However, such arrangements are fragile and informal in nature, and their continuation and effectiveness remain subject to significant uncertainty.

Notes to the Financial Statements

Note 1 – General (cont'd)

The security and geopolitical situation remains highly fluid, and the Company is unable to predict when, or under what conditions, these escalations may be resolved. Accordingly, as of the date of these financial statements, the extent of the continued impact, if any, on the Company's operations and financial results cannot be reasonably estimated.

As a significant portion of the Company's activities, including research and development activities conducted through Oshi Technologies Ltd., are located in Israel, the Company is exposed to economic, political, geopolitical and military conditions affecting Israel.

However, as of the date of these financial statements, the ongoing conflict has not had, and is not expected to have, a material adverse effect on the Company's business, financial condition, or results of operations. The Company's activities, including its research and development operations, have continued substantially without disruption.

The Company continues to monitor developments and will assess any potential future impact on its operations and assets, if any.

- D. As at December 31, 2025, the Company has an accumulated deficit in the amount of \$17.5 million. The Company's development and commercialization plans, and its ability to generate profitable activity, depend on future events, which include, among other things, raising capital to finance its development activities until reaching profitability and increasing the Company's sales. Subsequent to the balance sheet date, on March 22, 2026, the Company finalized a Series A preferred equity investment in an amount of \$3 million. Based on the Company's existing cash balances, the Company expects to have sufficient cash to fund its operations for at least 12 months following the issuance of the financial statements.

Note 2 – Significant Accounting Policies**A. Basis of presentation**

The financial statements of the Company have been prepared in accordance with accounting principles generally accepted in United States of America ("U.S. GAAP").

B. Principles of Consolidation:

The consolidated financial statements reflect the operations of the Company and its wholly owned subsidiary (collectively, the Group). All significant intercompany balances and transactions have been eliminated in consolidation.

C. Functional and presentation currency

The currency of the primary economic environment in which the operations of the Company are conducted is the U.S. dollar ("USD" or "\$"), thus, the USD is the functional currency of the Company.

Notes to the Financial Statements

Note 2 – Principal accounting policies (cont'd)

Transactions in currencies other than the functional currency of the Company are recorded at the exchange rates prevailing at the dates of the related transactions. Foreign exchange gains and losses resulting from the settlement of such transactions, as well as from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies, are recognized in the statements of comprehensive loss. At each balance sheet date, monetary assets and liabilities that are denominated in foreign currencies are translated to the respective functional currency of the Company at the rates prevailing on the relevant balance sheet date

D. Use of estimates

The preparation of consolidated financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include significant items subject to such estimates and assumptions include the determination of the grant-date fair value of share-based compensation and the assessment of the likelihood of repayment or conversion events related to the Company's convertible debt instruments.

E. Cash and cash equivalents

Cash and cash equivalents include cash that can be used immediately and deposits on demand. Cash equivalents includes short-term investments, where the period of time from the time of the initial deposit to the redemption time is up to three months, at a high level of liquidity, which are convertible readily into known amounts of cash, which have an insignificant exposure to risk of changes in value.

F. Restricted deposits

Restricted deposits consists of funds that are contractually restricted as to usage or withdrawal mainly due to operating lease agreements and credit line from a bank related to credit card payments.

G. Property, plant and equipment

Property and equipment items are measured at cost less accumulated depreciation and impairment losses.

The estimated useful lifetimes for the current period are as follows.

	%
Computers	33
Furniture and equipment	7
Leasehold improvements	In accordance with the length of the lease period

The estimates regarding the depreciation method, the useful lifetime and the residual value are retested at the end of the reporting period.

Notes to the Financial Statements

Note 2 – Principal accounting policies (cont'd)**H. Research and development costs**

Research and development costs are charged to operations as incurred. Non-royalty-bearing grants for funding approved development of a machine for industrial production of plant-based fish fillets are recognized, in accordance with ASC 832, at the time the Company is entitled to such grants, based on the costs incurred, and are applied as a deduction from research and development expenses.

I. Impairment of long-lived assets

The Company's property and equipment are reviewed for impairment in accordance with ASC 360, "Property and Equipment", whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to the future undiscounted cash flows expected to be generated by the assets. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets to be disposed of are reported at the lower of the carrying amount or fair value less selling costs. During the periods year ended December 31, 2025, and 2024, no impairment losses have been recorded.

J. Liability in Respect of Employee Severance Payments

The company has plans for a defined deposit for all its employees, in accordance with section 14 of the Severance Compensation Law, according to which the company regularly pays payments for the employees without having any legal or implied obligation to pay additional payments even if the fund has not accumulated sufficient amounts to pay all employee benefits related to the employee's service during the period the current and in previous periods. Deposits to a defined deposit plan for compensation or for rewards are recognized as an expense when the deposit is made to the plan at the same time as receiving the work services from the employee and no additional provision is required in the financial statements. During the year ended December 31, 2025 and 2024, the amount of contributions made by the Company under these plans, which was fully recognized as an employee benefit expense during the period, amounted to USD 72 thousand and USD 134 thousand, respectively.

K. Leases

The Company accounts for leases under Accounting Standards Update (ASU) No. 2016-02, Leases ("ASC 842").

The Company determines if an arrangement is a lease and the classification of that lease at inception based on: (1) whether the contract involves the use of a distinct identified asset, (2) whether the Company obtains the right to substantially all the economic benefits from the use of the asset throughout the period, and (3) whether the Company has a right to direct the use of the asset. The Company elected to not recognize a lease liability and a right-of-use ("ROU") asset for leases with a term of twelve months or less.

ROU assets and lease liabilities are recognized at commencement date based on the present value of remaining lease payments over the lease term. ROU assets are initially measured at amounts, which represents the discounted present value of the initial amount of the lease liability adjusted for lease payments made at or before the lease commencement date, plus any initial direct costs incurred less any lease incentives received.

Notes to the Financial Statements

Note 2 – Principal accounting policies (cont'd)

For operating leases, the ROU asset is subsequently measured throughout the lease term at the carrying amount of the lease liability, plus initial direct costs, plus (minus) any prepaid (accrued) lease payments, less the unamortized balance of lease incentives received. Lease expense for lease payments is recognized on a straight-line basis over the lease term.

The lease liability is initially measured based on the discounted present value of remaining lease payments over the lease term. For this purpose, the Company considers only payments that are fixed and determinable at the time of commencement.

The implicit rate within the operating leases is generally not determinable, therefore the Company uses the Incremental Borrowing Rate (“IBR”) based on the information available at commencement date in determining the present value of lease payments.

An option to extend the lease is considered in connection with determining the ROU asset and lease liability when it is reasonably certain that the Company will exercise that option. An option to terminate the lease is considered unless it is reasonably certain that the Company will not exercise the option.

ROU assets for operating leases are periodically reduced by impairment losses. The Company uses the long-lived assets impairment guidance in ASC Subtopic 360-10, Property, Plant, and Equipment – Overall, to determine whether an ROU asset is impaired, and if so, the amount of the impairment loss to recognize.

L. Stock-based compensation

The Company measures and recognizes the compensation expense for all equity-based payments to employees and nonemployees based on their estimated fair values in accordance with ASC 718, “Compensation- Stock Compensation”. Share-based payments including grants of stock options are recognized in the statement of comprehensive loss as a compensation expense based on the fair value of the award at the date of grant. The fair value of stock options granted is estimated using the Black-Scholes option-pricing model. The Company has expensed compensation costs, net of forfeitures as they occur, using the straight-line attribution approach over the requisite service period of the award.

M. Revenue recognition

The Company’s revenues are derived from product sales and are recognized in accordance with ASC 606. Revenue is recognized at the point in time when control of the product is transferred to the customer, upon delivery of the product at the customer’s site, in an amount that reflects the consideration the Company expects to receive from customers in exchange for such products. The revenue recognition process includes identifying the customer contract, determining the performance obligations in the contract, determining the transaction price, allocating the transaction price to the distinct performance obligations, and recognizing revenue when the performance obligations are satisfied.

The Company’s contracts with customers generally include a single performance obligation, consisting of the sale of goods.

The Company’s contracts with customers generally include a single performance obligation, consisting of the sale and delivery of equipment. Shipping and handling activities are accounted for as fulfillment costs, and the Company has elected the practical expedient to treat shipping and handling costs as fulfillment activities rather than as separate performance obligations.

Notes to the Financial Statements

Note 2 – Principal accounting policies (cont'd)**N. Concentrations of credit risk**

Financial instruments that potentially subject the Company to concentrations of credit risk consist primarily of cash and cash equivalents as well as certain other current assets that do not amount to a significant amount. Cash and cash equivalents, which are primarily held in Dollars and New Israeli Shekels, are deposited with major banks in Israel and United States. The Company considers that its cash and cash equivalents have low credit risk based on the credit ratings of the counterparties. The Company does not have any significant off-balance-sheet concentration of credit risk, such as foreign exchange contracts, option contracts or other foreign hedging arrangements.

O. Inventories

Inventories are valued at the lower of cost or net realizable value. Cost of raw and packaging materials, purchased products, manufactured finished products and products in process are determined using the FIFO (First-In, First-Out) method. The Company regularly reviews its inventories for impairment and reserves are established when necessary.

P. Income taxes

Income taxes are accounted for under the asset and liability method. The Group accounts for income taxes in accordance with ASC Topic 740, "Income Taxes." Accordingly, deferred taxes are determined based on the estimated future tax effects of differences between the financial statement carrying amount and the tax bases of assets and liabilities under the applicable tax law. Deferred tax balances are computed using the enacted tax rates expected to be in effect when these differences reverse. Valuation allowances in respect of deferred tax assets are provided for, if necessary, to reduce deferred tax assets to amounts more likely than not to be realized.

The Company accounts for tax positions in accordance with ASC Topic 740-10, which prescribes detailed guidance for the financial statement recognition, measurement and disclosure of tax positions in an enterprise's financial statements. According to ASC Topic 740-10, tax positions must meet a more-likely-than-not recognition threshold. Recognized tax positions are measured as the largest amount of tax benefit that is greater than 50 percent likely of being realized. The Company's accounting policy is to classify interest and penalties relating to income taxes under income taxes, however the Company did not recognize such items in its fiscal 2025 and 2024 financial statements and did not record any unrecognized tax benefits in its balance sheets.

Q. Convertible promissory notes

The Company accounts for the Convertible Note under ASC 470-20, "Debt-Debt with Conversion and other Options" ("ASC 470"). The Convertible Note is assessed under ASC 815, Derivatives and Hedging, for any conversion features which may require bifurcation, and the substantial premium model in accordance with ASC 470. Based on our assessment, separate accounting for the conversion feature of the Convertible Note is not required. The Company is not required to account for the Convertible Note at fair value and did not elect to measure it at fair value in accordance with ASC 815, Derivatives and Hedging, and ASC 825, Financial Instruments.

Notes to the Financial Statements

Note 2 – Principal accounting policies (cont'd)

R. Recently Adopted Accounting Standards:

Using the exemption permitted under U.S. securities laws for companies that are not issuers, as defined in Section 2(a) of the Sarbanes-Oxley Act of 2002, the Company has elected to defer compliance with new or revised Accounting Standards Updates (“ASUs”) until such standards are required to be adopted by private companies.

In June 2022, the FASB issued ASU 2022-03, Fair Value Measurement (Topic 820): Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions. The ASU amends Topic 820 to clarify that a contractual sale restriction is not considered in measuring an equity security at fair value and that an entity cannot recognize a contractual sale restriction as a separate unit of account, and requires new disclosures for all entities with equity securities subject to contractual sale restrictions. The ASU is effective for the Company’s annual reporting periods beginning after December 15, 2024. The Company adopted this ASU effective January 1, 2025 with no material impact.

S. Recently Issued Accounting Standards

In December 2023, the FASB issued ASU 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures. The ASU requires the annual financial statements to include consistent categories and greater disaggregation of information in the rate reconciliation, and income taxes paid disaggregated by jurisdiction. ASU 2023-09 is effective for the Company’s annual reporting periods beginning after December 15, 2025. Adoption is either with a prospective method or a fully retrospective method of transition. Early adoption is permitted. The Company is currently evaluating the effect that adoption of ASU 2023-09 will have on its consolidated financial statements.

In December 2025, the FASB issued ASU 2025-10, Government Grants (Topic 832): Accounting for Government Grants Received by Business Entities. The ASU provides guidance on accounting for government grants by business entities, including guidance for (1) grants related to assets and (2) grants related to income. The ASU is effective for the Company for annual periods beginning after December 15, 2029. Adoption is either on a modified prospective, modified retrospective, or a fully retrospective basis. Early adoption is permitted. The Company is evaluating the impact of the adoption of ASU 2025-10 on its consolidated financial statements.

Note 3 – Cash and cash equivalents

	December 31, 2025	December 31, 2024
	USD thousands	USD thousands
Cash in USD currency	1,567	3,032
Cash in NIS currency	158	324
	<u>1,725</u>	<u>3,356</u>

Notes to the Financial Statements

Note 4 – Short term bank deposits and restricted bank deposits

	December 31, 2025	December 31, 2024
	USD thousands	USD thousands
Short term bank deposits	-	2,000
Short term restricted bank deposits	421	357
Long term restricted bank deposits	66	58
	487	2,415

The short term bank deposits are not linked and bears interest of approximately 3.7% as of December 31, 2025.

Note 5 – Property and equipment, net

	Leasehold improvements	Furniture & Equipment	Computers	Total
Cost				
Balance as of January 1, 2024	2,154	132	42	2,328
Additions in the year	-	55	5	60
Balance as of December 31, 2024	2,154	187	47	2,388
Depreciation				
Balance as of January 1, 2024	338	7	26	371
Additions in the year	405	11	13	429
Balance as of December 31, 2024	743	18	39	800
Net book value				
Balance as of December 31, 2024	1,411	169	8	1,588
	Leasehold improvements	Furniture & Equipment	Computers	Total
Cost				
Balance as of January 1, 2025	2,154	187	47	2,388
Additions in the year	5	10	4	19
Disposals	-	(4)	(7)	(11)
Balance as of December 31, 2025	2,159	193	44	2,396
Depreciation				
Balance as of January 1, 2025	743	18	39	800
Additions in the year	411	13	1	425
Disposals	(1)	-	(2)	(3)
Balance as of December 31, 2025	1,153	31	38	1,222
Net book value				
Balance as of December 31, 2025	1,006	162	6	1,174

Notes to the Financial Statements

Note 6 – Leases

In August 2022, the Company entered into a noncancellable operating lease for an office for initial term of 5 years until July 2027, with one 5-year renewal option. The monthly payments due on an undiscounted basis over the noncancellable 5-year period of the lease are approximately \$21 thousand (NIS 66 thousand). The Company does not expect that the 5-year renewal period will be included in the lease term.

In connection with the lease, the Company received leasehold improvement reimbursements totaling approximately \$439 thousand (NIS 1.5 million), consisting of \$210 thousand (NIS 742 thousand) in 2022 and \$219 thousand (NIS 733 thousand) in 2023. These reimbursements were treated as lease incentives and accounted for as a reduction of the related right-of-use (ROU) asset.

For the year ended December 31, 2025, the Company recognized lease expenses of approximately \$193 thousand.

Maturities of operating lease liability at December 31, 2025 are as follows:

Year	USD thousands
2026	212
2027-2028	289
Total	501

During the year the Company entered into a sublease agreements with a third-party tenants for a portion of the leased space.

The head lease, mentioned above, remains in full force, and the Company has not been relieved of its primary obligations to the original lessor. Accordingly, in accordance with ASC 842, the Company accounts for the head lease and the sublease as separate contracts.

The sublease has been evaluated with reference to the underlying leased asset, and based on the applicable classification criteria, it has been determined to be an operating lease.

Consistent with the requirements of ASC 842, sublease income is not offset against the lease expense recognized under the head lease. The Company recognizes sublease income on a straight-line basis over the term of the sublease, and such income is presented within other income in the statement of operations.

For the year ended December 31, 2025, the Company recognized Sublease income of approximately \$137 thousand.

Note 7 – Convertible promissory notes

In August 2023, the Company's board of directors determined that it is in the best interests of the Company to raise up to \$5 million through the issuance of convertible promissory notes pursuant to a note purchase agreement entered into with a group of accredited investors. The note purchase agreement permits an initial closing and additional closings for up to sixty days following the initial closing, provided that the aggregate principal amount issued does not exceed \$5 million, unless increased by mutual consent of the Company and the requisite majority of noteholders.

Notes to the Financial Statements

Note 7 – Convertible promissory notes (cont'd)

In December 2023, the Company completed the issuance of convertible promissory notes in an aggregate principal amount of \$3.3 million. In addition, during January and February 2024, the Company received an additional \$1.65 million under the same note purchase agreement. The convertible promissory notes are unsecured obligations of the Company and generally rank senior to the Company's equity securities and pari passu with other unsubordinated indebtedness, subject to certain permitted indebtedness as defined in the agreement. The notes bear interest at a rate of 8% per annum, accruing from the date of issuance on the outstanding principal balance. Interest is not payable periodically and accrues until conversion or repayment. The notes have a contractual maturity of twenty-four months from their respective issuance dates. If a qualifying equity financing, as defined in the note agreements, has not occurred by the maturity date, the outstanding principal together with all accrued and unpaid interest becomes due and payable, unless the requisite majority of noteholders elect conversion at maturity into a new series of convertible preferred shares in accordance with the terms of the notes.

Upon the consummation of a qualifying equity financing, defined as an equity financing resulting in aggregate gross proceeds to the Company of at least \$10 million, the outstanding principal amount of the notes together with accrued and unpaid interest automatically converts into the same class of equity securities issued in such financing. The conversion price is equal to the lower of (i) 80% of the price per share paid by investors in the qualifying financing and (ii) the price per share implied by a valuation cap of \$50 million on a fully diluted basis, as defined in the agreement.

The notes also include provisions governing certain liquidity or liquidation events, including a merger, consolidation, change of control, sale of substantially all assets, or liquidation of the Company. Upon the occurrence of such a liquidation event prior to conversion or repayment, the noteholders are entitled to receive, from the legally available distributable proceeds, the greater of (i) a cash payment equal to 1.5 times the outstanding principal amount together with accrued and unpaid interest, or (ii) the amount the noteholders would receive had the notes converted into equity immediately prior to such event in accordance with the contractual conversion mechanics. If the available distributable proceeds are insufficient to satisfy such amounts in full, the proceeds are distributed among noteholders on a pro rata basis.

The notes restrict voluntary prepayment by the Company without the consent of the requisite majority of noteholders and include customary provisions relating to events of default, including non-payment, breach of covenants, and insolvency events, upon which the requisite majority may accelerate repayment of the outstanding amounts. The notes also include a "most-favored-nation" provision, pursuant to which the noteholders may elect to amend the notes if the Company issues subsequent convertible securities with more favorable economic terms, subject to specified exclusions.

Because repayment of principal and accrued interest in cash could be required upon maturity or upon certain liquidation events, the notes were classified as liabilities in the consolidated financial statements. The embedded conversion features were evaluated in accordance with ASC 815, *Derivatives and Hedging*, and were not bifurcated from the host debt instrument. Accordingly, the notes are accounted for as a single debt instrument and measured at amortized cost.

As of December 31, 2025, the Company recognized interest expense of \$791 thousand related to the convertible promissory notes. The total liability related to the notes, including accrued and unpaid interest, amounted to \$5,747 thousand.

Subsequent to the balance sheet date, on March 22, 2026, all outstanding principal and accrued interest under the convertible promissory notes were converted into Series A preferred equity as part of the Company's Series A preferred equity financing. See Note 18.

Notes to the Financial Statements

Note 8 – Shareholders’ Equity

Shares capital

	December 31 2025		December 31 2024	
	Authorized	Issued and	Authorized	Issued and
		fully paid		fully paid
		Number of shares		
Ordinary shares with US\$ 0.0001 par value (*)	5,246,970	1,051,663	5,246,970	1,009,523
Seed preferred Shares with US\$ 0.0001 par value	800,450	800,450	800,450	800,450
Pre-seed preferred shares with US\$ 0.0001 par value	452,580	452,580	452,580	452,580

(*) As of December 31, 2025 and 2024, the Company holds 31,250 treasury ordinary shares, which were repurchased during 2024. Treasury shares are deducted from equity and are not considered outstanding.

Ordinary shares

Each ordinary share entitles its holder to one vote on all matters submitted to a vote of the Company’s shareholders. Holders of ordinary shares are entitled to participate in dividends and other distributions when, as and if declared by the Board of Directors, out of funds legally available therefor, subject to the preferential rights of the Company’s Seed and Pre-Seed Preferred Shares.

In the event of any voluntary or involuntary liquidation, dissolution, winding up of the Company or a deemed liquidation event, after payment in full of all amounts required to be paid to the holders of Seed and Pre-Seed Preferred Shares, the remaining assets of the Company legally available for distribution shall be distributed to the holders of ordinary shares on a pro rata basis based on their respective holdings.

Seed and Pre-seed preferred Shares

The Seed and Pre-Seed Preferred Shares confer upon their holders all voting, dividend and other rights of the ordinary shares on an as-converted basis, together with certain preferential rights as described below.

In the event of any voluntary or involuntary liquidation, dissolution, winding up of the Company, or a deemed liquidation event, the holders of Seed and Pre-Seed Preferred Shares are entitled to receive, prior to any distribution to holders of ordinary shares, an amount per share equal to the greater of (i) the original issue price of the Seed and Pre-Seed Preferred Shares, less any preferred dividends previously paid, or (ii) the amount that would have been received had such shares been converted into ordinary shares immediately prior to such event. If the assets or proceeds legally available for distribution are insufficient to pay the full liquidation preference to all holders of Seed and Pre-Seed Preferred Shares, such assets or proceeds shall be distributed among those holders on a pro rata basis based on their respective liquidation entitlements.

After payment in full of the liquidation preference to the holders of the Seed and Pre-Seed Preferred Shares, any remaining assets or proceeds of the Company shall be distributed to the holders of ordinary shares on a pro rata basis.

Notes to the Financial Statements

Note 8 – Shareholders' Equity (cont'd)

The Seed and Pre-Seed Preferred Shares carry a non-cumulative dividend preference equal to 6% of the applicable original issue price per share, payable only when, as and if dividends are declared by the Board of Directors, and prior to any dividend distribution on ordinary shares. Following the payment in full of the preferred dividend preference, any remaining dividend amount may be distributed among other shareholders on an as-converted and pro rata basis.

Each Seed and Pre-Seed Preferred Share is convertible, at the option of the holder, into ordinary shares at a conversion price initially equal to the original issue price, subject to customary anti-dilution adjustments. The Seed and Pre-Seed Preferred Shares convert automatically upon the written consent of the majority of the holders of the preferred shares or upon the consummation of a qualified initial public offering, as defined in the Articles of Association.

Note 9 – Share-based payment

ASC 718 requires companies to estimate the fair value of equity-based payment awards on the date of grant using an option-pricing model. The value of the portion of the award that is ultimately expected to vest is recognized as an expense over the requisite service periods in the Company's statements of operations and comprehensive loss. The Company recognizes compensation costs for those shares expected to vest using the straight-line attribution approach over the requisite service period of the award, which is generally four years. The fair value for options granted to employees and consultants during 2024, was estimated at the date of grant using the Black-Scholes-Merton option pricing model with the following assumptions:

	<u>For the year ended</u> <u>December 31, 2024</u>
Dividend yields	0%
Expected volatility	62.55%-64.77%
Risk-free interest rates	3.51%-4.64%
Expected life (in years)	5.11-6.11

- The fair value of the ordinary shares underlying the options is determined based on a valuation performed by an independent third-party valuation specialist. The valuation is prepared in accordance with the requirements of ASC 718 and is based on information and assumptions provided by the Company's management. The expected term of the options was determined using the simplified method, as permitted under ASC 718, due to the lack of sufficient historical exercise data. The simplified method calculates the expected term as the midpoint between the vesting date and the contractual expiration date of the options.
- As the Company's ordinary shares are not publicly traded, the valuation considers, among other factors, the Company's capital structure, the rights and preferences of the various classes of shares, data from comparable publicly traded companies, relevant market conditions, management's financial forecasts, the lack of marketability of the ordinary shares, and an estimated time to a potential liquidity event. The fair value of the ordinary shares at the grant date is reviewed and approved by the Company's Board of Directors based on the results of the valuation and will continue to be determined in this manner until such time as the Company's ordinary shares are listed on an established stock exchange or national market system.

Notes to the Financial Statements

Note 9 – Share-based payment (cont'd)

Total compensation expenses related to employees, consultants and other service providers for the years ended December 31, 2025 and 2024, amounted to \$110 and \$132 thousand, respectively. These expenses were included primarily in salaries and related expenses within research and development expenses, sales and marketing expenses and general and administrative expenses in the Company's statements of operations.

The Board of Directors of the Company has authorized through its 2021 Share Option Plan, the grant of options to officers, directors, advisors, management, and other key employees of up to 281,200 ordinary shares. The options granted generally have a four-year vesting period and expire ten years after the date of grant. Options granted under the Company's option plan that are cancelled or forfeited before expiration become available for future grant.

In May 2024, the Board of Directors of the Company resolved to grant an aggregate number of 52,810 options to purchase Ordinary Shares to its employees and consultants, at an \$2.445-\$4.890 exercise price per option and vesting periods ranging from 3 to 48 months.

In September 2024, the Board of Directors of the Company resolved to grant an aggregate number of 49,972 options to purchase Ordinary Shares to its employees and consultants, at an \$4.890 exercise price per option and a vesting period of three years.

In December 2024, the Board of Directors of the Company resolved to grant an aggregate number of 5,460 options to purchase Ordinary Shares to its employees, at an \$4.890 exercise price per option and a vesting period of four years.

A summary of the Company's option plan as of December 31, 2025 and 2024, and changes during the relevant period ended on that date presented below:

	Year ended December 31, 2025			
	Shares subject To Options Outstanding	Weighted average exercise price (\$)	Weighted Average Remaining Contractual term (years)	Aggregate intrinsic value (USD thousands)
Balance at January 1, 2025	235,382	2.04	-	671
Granted	-	-	-	-
Exercised	(42,140)	0.24	-	-
Forfeited	(19,186)	2.51	-	-
Expired	(3,534)	2.24	-	-
Balance at December 31, 2025	170,522	2.46	7.22	414
Vested and exercisable at December 31, 2025	117,237	1.66	6.71	379

Notes to the Financial Statements

Note 9 – Share-based payment (cont'd)

	Year ended December 31, 2024			
	Shares subject To Options Outstanding	Weighted average exercise price (\$)	Weighted Average Remaining Contractual term (years)	Aggregate intrinsic value (USD thousands)
Balance at January 1, 2024	151,480	0.27	-	700
Granted	108,242	4.09	-	-
Exercised	(8,103)	0.27	-	-
Forfeited	(14,147)	0.10	-	-
Expired	(2,090)	0.38	-	-
Balance at December 31, 2024	235,382	2.04	8.00	671
Vested and exercisable at December 31, 2024	117,750	0.62	6.93	503

Note 10 – Research and development expenses, net

	Year ended December 31, 2025	Year ended December 31, 2024
	USD thousands	USD thousands
Salaries and related expenses	732	854
Equipment expenses	200	117
Patents	49	16
Others (*)	79	269
	<u>1,060</u>	<u>1,256</u>

(*) Net of government grants received in the amounts of USD 238 thousand and USD 249 thousand for the years ended 2025 and 2024, respectively.

Note 11 – Sales and marketing expenses

	Year ended December 31, 2025	Year ended December 31, 2024
	USD thousands	USD thousands
Salaries and related expenses	516	285
Marketing activities expenses	117	139
Others	325	206
	<u>958</u>	<u>630</u>

Notes to the Financial Statements

Note 12 – General and administrative expenses

	Year ended December 31, 2025	Year ended December 31, 2024
	USD thousands	USD thousands
Salaries and related expenses	669	833
Facility maintenance	359	313
Professional services and consulting	224	280
Depreciation	425	429
Other	97	221
	<u>1,774</u>	<u>2,076</u>

Note 13 – Finance expense

	Year ended December 31, 2025	Year ended December 31, 2024
	USD thousands	USD thousands
Interest expenses on convertible loans	395	396
Bank fees	10	9
	<u>405</u>	<u>405</u>

Note 14 – Income expense

	Year ended December 31, 2025	Year ended December 31, 2024
	USD thousands	USD thousands
Interest income	161	280
Foreign currency	12	22
	<u>173</u>	<u>302</u>

Notes to the Financial Statements

Note 15 – Income Taxes

- A. U.S. resident companies are subject to corporate income tax on their worldwide income at a statutory tax rate of 21%. Subject to meeting certain conditions, income derived from foreign subsidiaries may be exempt from U.S. taxation pursuant to applicable tax treaties in order to avoid double taxation. The income of the Israeli company is subject to corporate income tax at a rate of 23%. The Company has not received final tax assessments since its incorporation. As of December 31, 2025, Oshi Ltd. has tax losses of approximately US\$14.3 million available to be carried forward for tax purposes, and pursuant to Israeli tax laws, there is no time limitation on the utilization of such tax losses.
- B. Deferred taxes arise primarily from temporary differences in the recognition of certain income and expense items for financial reporting and income tax purposes, as well as from operating loss carryforwards. The Company recognized deferred tax assets in the amounts of US\$3.3 million and US\$2.1 million for the years ended 2025 and 2024, respectively. At the same time, the Company recorded a full valuation allowance against its deferred tax assets in the amounts of US\$3.3 million and US\$2.1 million for the years ended 2025 and 2024, respectively, as it is not more likely than not that the Company will generate sufficient taxable income to utilize the available deferred tax assets in the foreseeable future.

Note 16 - Transactions and Balances with Related Parties

A. Transactions with related parties

The Company has outstanding convertible promissory notes issued to a principal shareholder. For additional information regarding the convertible promissory notes, see Note 7.

	For the year ended December 31, 2025	For the year ended December 31, 2024
	USD thousands	USD thousands
Interest expenses on convertible loans	20	20

B. Current balances with related parties

	December 31, 2025	December 31, 2024
	USD thousands	USD thousands
Convertible promissory notes	290	270

Notes to the Financial Statements

Note 17 - Segments

The Company has one operating segment, which also constitutes its single reportable segment. The identification of the operating segment is based on the manner in which the Company's chief operating decision maker ("CODM") evaluates financial performance and allocates resources.

The CODM reviews the Company's operating results on a consolidated basis for purposes of evaluating performance and allocating resources. Accordingly, the Company's operating segment results are identical to the consolidated results presented in the accompanying consolidated financial statements.

The measure of segment profit or loss used by the CODM is net loss. All revenues, operating expenses and assets reported in the consolidated financial statements are attributable to the Company's single operating and reportable segment. All of the Company's revenues are generated in the United States.

Note 18 - Subsequent events

On March 22, 2026, the Company entered into a Share Purchase Agreement for the purchase of 797,264 preferred A shares for a total consideration of \$3 million. According to the Share Purchase Agreement, the Company has 90 days to raise an additional \$5 million from other investors.

The Series A Preferred Stock carries liquidation preference senior to the Company's existing preferred and common shares, entitling holders to the greater of their original investment amount (plus a 6% non-compounded annual dividend) or the amount that would have been received upon conversion to common stock.

Following this Share Purchase Agreement, all amounts of the convertible promissory notes, including accrued interest, were converted, as part of the Series A preferred equity investment and on the same terms, to 1,561,883 preferred A shares.

Simple Agreement for Future Equity for \$15 thousand received in 2022 was also converted to 3,986 preferred A shares.